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LEGAL DUE DILIGENCE REPORT

Project Drake — Proposed acquisition of Harwood Valve & Controls Limited

Prepared for: Bracken Group plc | Date: 12 January 2026 | Ref: SCW/JO/DRAKE/00138

STATUS: Confidential and subject to legal professional privilege. This report is prepared on the basis set out in the engagement letter and is subject to the scope, assumptions and limitations in Section 1.

1. Scope and basis

This report summarises the findings of our legal due diligence review of Harwood Valve & Controls Limited (the "Target"). Our review covered corporate matters, material contracts, real property, employment, pensions, intellectual property, data protection, litigation, regulatory and environmental matters. It is based on the documents made available in the data room up to 9 January 2026 and the replies to our enquiries. We have not undertaken financial or tax due diligence, which is the subject of a separate report by Marlow Tax & Advisory Ltd.

2. Executive summary and key risks

Area	Finding	Rating	Recommended action
Title to shares	Share capital and title clean; statutory registers in order.	Low	SPA title warranties; standard transfers.
Material contracts	Stratton Energy supply agreement (≈22% of revenue) has change-of-control termination right.	High	Condition precedent or specific disclosure; obtain cons
Customer concentration	Top 3 customers ≈ 48% of revenue.	Medium	Commercial; reflected in earn-out structure.
Real property	Freehold of Long Eaton site; asbestos (non-friable) management plan.	Medium	Specific disclosure; environmental warranty; retain pl
Banking	Clydesford Bank facility contains change-of-control clause.	Medium	Condition precedent; obtain lender consent.
Employment	No material disputes; one phased return in progress.	Low	Standard employment warranties.
IP	Core 'Harwood' trade marks registered; no licences-in of note.	Low	IP warranties; assignment of any founder-held rights.
Litigation	One historic product claim settled (Nov 2024, £18,500).	Low	Disclosed; warranty re no current proceedings.

3. Corporate

The Target is a private company limited by shares incorporated on 12 May 1996 with an issued share capital of 1,000,000 ordinary shares of £1.00 each, held as to 75% by the Harwood family and 25% by Camberwell Growth Capital LLP. The statutory books were complete and up to date. There are no subsisting options, warrants or other rights over the share capital. The articles contain customary pre-emption provisions which the Sellers will waive on the share transfer.

4. Material contracts

The Target's principal customer contracts are a supply agreement with Stratton Energy plc (dated 1 April 2023) and a distribution arrangement with Wexbourne Retail Group Limited. The Stratton agreement entitles the customer to terminate on a change of control; we recommend this be addressed as a condition precedent and that consent be sought before Completion. Supplier arrangements (principally castings and forgings) are on standard terms with no unusual exclusivity or minimum-purchase commitments.

5. Real property and environmental

The Target owns the freehold of its principal manufacturing site at Sawley Marina Industrial Estate, Long Eaton. Official copies confirm good title subject only to standard utility easements. An asbestos survey identified non-friable asbestos-containing materials in the roof of Building C, managed under a documented asbestos management plan; no removal works are outstanding. We recommend a specific disclosure and reliance on the environmental warranties.

6. Employment and pensions

The Target employs 184 staff on broadly standard terms. There is no defined-benefit pension scheme; the only arrangement is the auto-enrolment workplace pension. One employee is on a phased return from long-term absence with reasonable adjustments in place. We identified no collective consultation or TUPE issues arising from the Transaction (a share sale).

7. Litigation and regulatory

Save for one historic product warranty claim settled in November 2024 for £18,500 (no admission of liability), we are not aware of any current, pending or threatened litigation. The Target holds the operating and environmental permits necessary for its business and we identified no material breaches.

8. Recommendations

Subject to (i) obtaining the Stratton Energy and Clydesford Bank change-of-control consents as conditions precedent, (ii) the specific disclosures noted above, and (iii) the warranty, tax covenant and escrow package in the SPA, we consider the legal risks of the Transaction to be acceptable and consistent with the agreed pricing.